NOTE 2 Segment information

Net sales

The Group's net sales primarily comprise sales of finished products and are recorded in the income statement upon transfer of control of the products. They are measured at the fair value of the consideration received or to be received after deducting trade discounts, volume rebates, certain costs associated with business and promotional activity and sales-related taxes and duties, notably excise duties.

Costs of commercial and promotional activity

Pursuant to IFRS 15, certain costs of services rendered in connection with sales, such as advertising programmes in conjunction with distributors, listing costs for new products, promotional activities at point of sale, and advertising and promotion expenses, are deducted directly from net sales if there is no distinct service whose fair value can be reliably measured.

Duties and taxes

In accordance with IFRS 15, certain import duties, in Asia for instance, are classified as cost of sales, as these duties are not specifically re-billed to customers (as is the case for social security stamps in France, for example).

Discounts

In accordance with IFRS 15, early payment discounts are not considered to be financial transactions, but rather are deducted directly from net sales.

Gross margin after logistics expenses, contribution after advertising and promotion expenses, profit from recurring operations and other operating income and expenses

The gross margin after logistics expenses corresponds to net sales (excluding duties and taxes), less cost of sales and logistics expenses. The contribution after advertising and promotion expenses includes the gross margin after logistics expenses and advertising and promotion expenses. The Group applies Recommendation 2013-R03 of the French accounting standards-setter (*Autorité des normes comptables* – ANC), notably as regards the definition of profit from recurring operations. Profit from recurring operations is the contribution after advertising and promotion expenses less trading costs and overheads. This is the indicator used internally to measure the Group's operational performance. It excludes other operating income and expenses, such as those related to restructuring, capital gains and losses on disposals, impairment of property, plant and equipment and intangible assets, and other non-recurring operating income and expenses. These other operating income and expenses are excluded from profit from recurring operations given their unusual, abnormal and infrequent nature, which would distort the understanding of the Group's performance. They are described in detail in Note 3.1 – *Other operating income/(expenses).*

The Group is focused on the business of selling and manufacturing wines and spirits. The Group is structured into three operating segments constituted by the following geographical areas: Americas, Europe, and Asia/Rest of the World.

Group management assesses the performance of each operating segment on the basis of net sales and profit from recurring operations, defined as the gross margin after logistics expenses, less advertising and promotion expenses and structure costs. The segments presented are identical to those included in the reporting provided to General Management, in particular for performance analysis.

Income statement and balance sheet items are allocated among the segments on the basis of either the destination of sales or profits. Operating segments follow the same accounting policies as those used for the preparation of the consolidated financial statements. Inter-segment transfers are transacted at market prices.

30 JUNE 2024 € millions	Americas	Asia/Rest of the World	Europe	Total
Income statement items				
Segment net sales	3,934	6,078	8,831	18,843
o/w inter-segment sales	*594*	*1,106*	*5,545*	*7,245*
Net sales (excluding Group)	**3,340**	**4,973**	**3,285**	**11,598**
Gross margin after logistics expenses	2,162	2,851	1,962	6,975
Contribution after advertising and promotion expenses	1,493	2,173	1,437	5,103
Profit from recurring operations	**878**	**1,461**	**777**	**3,116**
Other information				
Current investments	216	152	511	879
Depreciation, amortisation and impairment, net	66	(358)	(644)	(935)

30 JUNE 2025 € millions	Americas	Asia/Rest of the World	Europe	Total
Income statement items				
Segment net sales	3,745	5,388	8,711	17,844
o/w inter-segment sales	*590*	*753*	*5,541*	*6,884*
Net sales (excluding Group)	**3,154**	**4,635**	**3,170**	**10,959**
Gross margin after logistics expenses	2,021	2,620	1,875	6,516
Contribution after advertising and promotion expenses	1,419	2,040	1,378	4,837
Profit from recurring operations	**847**	**1,360**	**744**	**2,951**
Other information				
Current investments	173	104	512	790
Depreciation, amortisation and impairment, net	(101)	(73)	(302)	(476)

The impact of right-of-use assets on current investments and net depreciation, amortisation and impairment is as follows:

30 JUNE 2025 € millions	Americas	Asia/Rest of the World	Europe	Total
Current investments	36	43	61	140
Depreciation, amortisation and impairment, net	(37)	(49)	(22)	(109)

BREAKDOWN OF NET SALES BY BRAND

€ millions	30.06.2024 published	30.06.2024 restated	30.06.2025	Change	Change (%)
Strategic International Brands	7,168	7,168	6,714	(454)	-6%
Strategic Local Brands	2,104	2,042	2,017	(25)	-1%
Strategic Wines	423	423	438	15	4%
Specialty	846	877	807	(70)	-8%
Other products	1,057	1,088	983	(105)	-10%
TOTAL	**11,598**	**11,598**	**10,959**	**(639)**	**-6%**

From FY 2025, the "Strategic Local Brands" and "Specialty" brands segments have evolved to reflect the active management of the portfolio, following the disposal of certain non-strategic local brands.

This change in segmentation has been applied to the period ended 30 June 2024 to ensure meaningful comparison.

BREAKDOWN OF NET SALES BY COUNTRY

€ millions	United States	China	India	France	Other countries	Total
Net sales for FY 2024	2,166	1,123	1,408	561	6,341	11,598
Net sales for FY 2025	2,028	886	1,454	547	6,046	10,959

The Group does not disclose the breakdown of non-current assets by country, as a significant proportion of these assets consists of brands and goodwill, which are analysed based on the sales they generate by country, and not based on the legal entity.